(ii) Relaxing norms for use of shelf prospectus (requires amendment to Section 60 of Companies Act by the MCA).

(iii) Putting corporate bonds under SARFAESI (Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest) Act (so that recovery becomes full- proof and investor's confidence comes in).

(iv) Arrangement for a comprehensive bond data base.

(v) Lowering the stamp duties on the bond and making them uniform across states (Stamp Act needs to be amended by the Department of Revenue).

Q. 4 'Finance Commission (FC) and Planning Commission (PC) should work together for better development.' Elucidate.

Ans. The Constitution provides for a finance Commission to promote fiscal federalism and ensure decentralised ways of development. But Parliament gave it only the power to suggest the distribution of the Union's tax revenue. Meanwhile, the extra-constitutional body, Planning Commission started playing a more proactive role in the area of developmental issues and allocation of funds. It was the fourth Finance Commission (headed by P. V. Rajamannar) which, for the first time, suggested a cooperative approach between PC and FC. In the last few years, academicians and the experts have been suggesting the same thing.

It was in 2002 that the government, for the first time, announced such an idea (The then finance minister Mr. Jaswant Singh suggested this while announcing the setting up of the 12th FC)—*the PC will be playing more or less a role of callaborator to the FC.* Mr. Som Pal was made a common member to both the bodies (after the UPA came to power, he resigned from the FC).

Experts appreciated the above governmental step as in the process of development; the FC has been left on the margins of the development process and the PC was playing a more important role. It is better they work in tandem since both are committed to economic development. The recent view of decentralised planning, coalition government, and requirement of greater fiscal federalism together demand a collaborative approach between